

SUPREME COURT OF VICTORIA

R. v. RENZELLA

COURT OF APPEAL

WINNEKE P., CHARLES and CALLAWAY JJ.A.

17, 18 July, 6 September 1996

Criminal law — Evidence — Corroboration — Lies by accused — Whether relevant only to credit — Whether corroboration, part of circumstantial case or implied admissions — Direction to jury — *Edwards* warning — Sentence — Presentence detention for unrelated charge — Whether court may take into account in exercise of discretion — Sentencing Act 1991 (No. 49) s. 18(1).

The accused was found guilty by a County Court jury on one count of conspiracy to cheat and defraud. He sought leave to appeal against conviction. The principal ground of the appeal was that the trial judge failed to direct the jury adequately in relation to inferences which could be drawn from, or the use which could be made of, lies which the accused admitted. The trial judge directed the jury that they could use the lies as corroboration of the evidence of a co-offender but without giving a warning of the kind required by *Edwards v. R.* (1993) 178 C.L.R. 193.

The Director of Public Prosecutions cross-appealed against sentence on the ground that the trial judge erred in reducing the head sentence and minimum sentence pursuant to s. 18(1) of the Sentencing Act 1991 by the period which the accused had spent in detention in relation to an unrelated charge.

Held, granting leave to appeal, and allowing the appeal, against conviction, that the trial judge erred in his direction regarding the lies told by the accused. Where the prosecution uses lies by the accused only to attack credit, no special direction to the jury is required. However, an *Edwards* direction is required where the prosecution invites the jury to use a lie told by the accused as part of a circumstantial case, as corroboration, as confirmatory or supportive material or simply as evincing a consciousness of guilt.

Edwards v. R. (1993) 178 C.L.R. 193, applied.

Broadhurst v. R. [1964] A.C. 441; *R. v. Toia* [1982] 1 N.Z.L.R. 555; *R. v. Morgan* (unreported, Court of Appeal, 13 August 1996); *R. v. Miletic* [1997] 1 V.R. 593, referred to.

Per curiam. Section 18(1) of the Sentencing Act 1991 applied only where an offender was sentenced to a term of imprisonment and there was a period of time during which the offender was held in custody in relation to proceedings for that offence or proceedings arising from them and for no other reason. In other cases the section was silent and a court was not only empowered but obliged as a matter of justice to take presentence detention into account.

R. v. Judge Frederico; Ex parte Attorney-General [1971] V.R. 425; *R. v. Heaney* (unreported, Court of Appeal, 27 March 1996), followed.

Application for leave to appeal and appeal

This was an application for leave to appeal against conviction for conspiracy to cheat and defraud and a cross-appeal by the Director of Public Prosecutions against sentence pursuant to s. 567A of the Crimes Act 1958. The facts are stated

in the judgment.

D. Grace Q.C. and C. F. Thomson for the applicant/cross-respondent.

5 *T. Gyorffy and K. T. Armstrong* for the respondent/cross-appellant.

Cur. adv. vult.

10 **Winneke P., Charles and Callaway JJ.A.** The applicant, who is now aged 51, was presented in the County Court with two other accused on one count of conspiracy to cheat and defraud. It was pleaded that between 17 September 1991 and 27 November 1992 they conspired together and with a person unknown to the Director of Public Prosecutions and with one John Gerald Sven Bantjes to cheat and defraud by falsely representing that a company called Second Novro Pty. Ltd., which traded as Southern Commercials, had good title to all motor vehicles which it offered for sale and that it was able to pass good title to anyone who ordered or purchased a motor vehicle from it. On 7 July 1995 it was ordered that there be separate trials and on 4 August 1995, after a trial occupying 15 days, a jury found the applicant guilty. After hearing a plea for leniency on his behalf, 15 the learned trial judge sentenced him on 15 August 1995 to four years' imprisonment and fixed a non-parole period of two and a half years. It was declared that 12 days be reckoned as already served under the sentence. Three days later his Honour resented the applicant to three years and seven weeks' imprisonment and fixed a non-parole period of one year and 33 weeks. A fresh declaration was made regarding presentence detention. 25

On 17 and 18 July 1996 we heard an application for leave to appeal against conviction and an appeal against sentence by the Director of Public Prosecutions pursuant to s. 567A of the Crimes Act 1958. We gave leave to the applicant, at the beginning of the hearing, to abandon his application for leave to appeal against sentence. As amended by leave of the registrar and further amended by leave of the court, there were five grounds of appeal against conviction and 30 26 particulars subjoined to ground 1. There were three grounds of appeal in the director's notice of appeal.

Grounds 2, 3 and 5, and most of the particulars under ground 1, in the notice of application for leave to appeal against conviction were not argued. Omitting 35 particulars, grounds 1 and 4 were:

1. The conduct of the applicant's counsel and solicitor prior to and during his trial was such as to deprive him of a fair trial and give rise to a substantial miscarriage of justice.

40 4. The learned trial judge erred in law in failing to direct the jury adequately or at all in relation to inferences which could be drawn from, or the use which could be made of, lies told by the applicant, giving rise to a substantial miscarriage of justice.

As ground 4 has been made out, it is unnecessary to consider ground 1 or to set out the particulars. Success on that ground would not have entitled the applicant to a judgment and verdict of acquittal. As there will have to be a new trial, it is also unnecessary to consider the director's appeal, but one of the director's grounds raised a matter of practical and recurring importance in the day to day administration of justice. As it was fully argued and has been carefully considered by the court, we shall deal with it.

50 Accordingly the two legal issues that fall for decision are the question raised by ground 4 above and the question dealt with later in this judgment concerning

s. 18 of the Sentencing Act 1991. As there will be a retrial, it is desirable to say no more of the facts than is necessary to understand those two issues.

The conspiracy to cheat and defraud involved the theft and resale of 59 motor vehicles, most of them Toyota Landcruisers. The conspirators' *modus operandi* included altering the vehicles' engine and chassis numbers, removing their numberplates and changing their appearance. The value of the vehicles stolen exceeded a million dollars. Four were recovered by investigating police before they could be resold, but the proceeds from the sale of the others disappeared into what the judge described as the "financial morass" of Southern Commercial's business.

It will be recalled that one of the alleged conspirators mentioned in the presentment was Bantjes. He gave evidence that he had stolen approximately 23 vehicles with the applicant in October and November 1992. He said that they would drive around in the applicant's motor car until they found the model of Landcruiser they wanted. Once they had selected a car, they would park, walk down the street and inspect the vehicle. The applicant would then keep watch whilst Bantjes broke into the vehicle, started it and drove it back to Southern Commercial's.

Part of his evidence related to a meeting between them at a motel where, he said, the applicant produced an invoice book consisting of preprinted invoice forms for a company called Horizon Auto Wholesalers Pty. Ltd. According to Bantjes the applicant asked him to write out receipts, which he did by copying the details from sales agreements for motor vehicles that had been stolen and resold. The applicant denied any involvement in the acquisition of the stolen vehicles and, as we shall see, gave a different account of the meeting at the motel.

An investigation into the affairs of Southern Commercial's was begun by the Ministry of Consumer Affairs in March 1992. That investigation led to hearings before the Motor Car Traders' Licensing Authority. The applicant gave evidence at the second of those hearings, which took place in July and August 1992. We shall refer later in this judgment to "statements" made to the authority in order to distinguish them from "evidence" given at the trial. An edited tape-recording of the proceedings before the authority was tendered as Ex. P66 and a transcript thereof was the subject of an admission by the applicant pursuant to s. 149A of the Evidence Act 1958. At the trial he was examined and cross-examined on the truth or otherwise of the statements that he had made to the authority.

Ground 4

In *R. v. Toia* [1982] 1 N.Z.L.R. 555 at 559 Cooke J. (as Lord Cooke of Thorndon then was) said that it was regrettable that a mystique seemed to be developing in New Zealand about lies in criminal cases. His Honour observed that the matter was not really complicated and that there were two main ways in which lies told by an accused might be important. He continued,

First, occasionally they are capable of adding something to the Crown case, whether as corroboration or simply as strengthening evidence. . . . Secondly, and more commonly, proved lies by an accused, whether in evidence or in statements out of Court, may be relevant to credibility.

It is regrettable that a mystique seems to be developing in Australia too: cf. the observations of Hayne J.A., with whom Phillips C.J. and Southwell A.J.A. agreed, in *R. v. Morgan* (unreported, 13 August 1996) at 5. We preface this part of our judgment by setting out, in summary form, the principal points to be borne in mind

1. Similar issues can arise in relation to conduct other than lies, such as flight or laying a false trail or bribery or attempted bribery of prosecution witnesses. See, for example, *R. v. Tadic and Gibb* (unreported, Full Court, 31 August 1993) at 32-3; *R. v. Edwards* (unreported, Court of Appeal, 20 December 1995) at 7 and
 5 *R. v. Rhodes* (unreported, Court of Appeal, 20 December 1995) at 4-5. There can also be an implied admission that one intends to commit an offence or is in the course of committing it: see *R. v. Appleby* (unreported, Court of Appeal, 14 June 1996).

2. In most cases, as Cooke J. said, lies go only to credit. As his Honour explained, "This is no more than a matter of common sense. They may help the jury to decide whether the evidence for the prosecution should be preferred to an account put forward by the accused." A direction in conformity with *Edwards v. R.* (1993) 178 C.L.R. 193 ("an *Edwards* direction") is not necessary in such cases.

3. There is a natural tendency for a jury to think that, if an accused is lying, it must be because he is guilty. Although it was said by the Privy Council in *Broadhurst v. R.* [1964] A.C. 441 at 457 that it is the duty of the judge to make it clear to the jury that that is not so, there is no invariable rule of practice in Victoria to that effect where lies go only to credit. That was recently reaffirmed
 20 by Hayne J.A. in *Morgan's* case at 6.

4. The court as presently constituted heard argument on *Broadhurst's* case and the New Zealand authorities that have followed it in *R. v. Miletic* [1997] 1 V.R. 593. We observed, at 607, that it may be that the need for a warning of the kind referred to in those authorities is to be determined, on a case by case basis, by
 25 applying the general principle that a judge should give any direction that is necessary and practical, in the circumstances of the case, to avoid a perceptible risk of miscarriage of justice. *Morgan's* case is consistent with that observation.

5. In *Edwards v. R.* Deane, Dawson and Gaudron JJ. also pointed out, at 208, that the telling of a lie will ordinarily do no more than affect the credit of the witness who tells it. That is equally true of a lie told by the accused.
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6. A lie told by the accused may nevertheless go further. As their Honours explained on the same page, it may amount to conduct which is inconsistent with innocence and thereby constitute "an implied admission of guilt". In that way the telling of a lie may constitute evidence. It may even amount to corroboration if
 35 it is not necessary to rely on the evidence to be corroborated in order to establish the lie. See also at 209.

7. Although the expression "consciousness of guilt" is often used, the critical distinction drawn in *Edwards v. R.* is between lies that go to credit and lies that amount to evidence because they constitute implied admissions. They constitute such admissions *because* they are told from a consciousness of guilt. Most lies are not of that kind and cannot give rise to admissions. See, for example, *R. v. Martin* (unreported, Court of Appeal, 20 December 1995) at 11. We have already referred to the passages in the joint judgment at 208 and 209. At 210-11, where the substance of an *Edwards* direction is set out, that is expressly done in the
 40 context of a lie constituting "an admission against interest". See also *R. v. Tadic and Gibb* at 33-43.

8. Accordingly it is a misdirection, in a case where lies go only to credit, to tell the jury that they form part of the Crown's circumstantial case or that the jury may regard them as corroboration or as affording "confirmation" or "support" for
 50 the testimony of a witness whose evidence stands in need of a scrutiny warning: see *Miletic's* case at 604 5 A lie cannot be part of a circumstantial case or

corroboration or afford such confirmation or support unless it goes beyond credit and constitutes an admission against interest.

9. An *Edwards* direction is required where the Crown invites the jury to use a lie told by the accused in any of those ways or simply as evincing a consciousness of guilt and the lie is of a kind which could found an admission. The requirement for such a direction is distinct from the standard of proof. The direction is required because the lie is relied on as an implied admission, whether or not it is an essential part of the Crown case.

10. The standard of proof, where a lie is relied on as an admission, is explained in *R. v. Edwards* (unreported, Court of Appeal, 20 December 1995) at 7-9. The lie and its character as an admission do not have to be proved beyond reasonable doubt unless the lie is the only evidence against the accused or an indispensable link in a chain of evidence necessary to prove guilt: see *Edwards v. R.* at 210 and *R. v. Taylor* (unreported, N.S.W. Court of Criminal Appeal, 28 March 1995) at 19.

11. There are some cases where, although the Crown does not rely on lies as implied admissions, there is a danger that the jury may regard them in that light. Where that is so, the judge should direct the jury that the lies go only to credit and are not to be used as evidence or implied admissions of guilt. It is not for the judge to put the Crown case in a different way, and accordingly he or she should not follow the alternative course, apparently countenanced in *R. v. Goodway* (1993) 98 Cr. App. R. 11 at 15 and 17; [1993] 4 All E.R. 894, of giving an *Edwards* direction in case the jury chooses to use the lies as doing more than merely reflecting on the credibility of the accused.

12. An *Edwards* direction is usually essential if the Crown invites the jury to treat lies by the accused as part of a circumstantial case, as corroboration, as confirmatory or supportive material or simply as evincing a consciousness of guilt, but an imperfect *Edwards* direction will not inexorably lead to a conviction's being quashed: see, for example, *R. v. Totivan and Dale* (unreported, Court of Appeal, 15 August 1996) at 12-13.

In the present case the learned trial judge told the jury that it was dangerous to convict an accused person on the uncorroborated evidence of a witness such as Bantjes who was an accomplice and accordingly that they should look for independent evidence tending to show that what Bantjes had said about the applicant's involvement was correct. His Honour explained that it was one of his duties to draw their attention to any evidence which, if they accepted it, was capable of amounting to corroboration. He continued, "I direct you that there is a body of circumstantial evidence which is capable of corroborating Bantjes' evidence about the accused's involvement." There followed an explanation of what was meant by "circumstantial evidence" and then the following passage:

In this case there is direct evidence, if you accept it, of the accused's involvement, and that direct evidence was given by Bantjes. The Crown also relies on a body of circumstantial evidence which the Crown contends strongly points to the accused's guilt, not only in conjunction with Bantjes' evidence, but even without it. The Crown asks you to conclude, having regard to the whole of the evidence, that the only reasonable conclusion is that the accused was knowingly involved in the sale of stolen cars. After lunch, what I will do is to identify the main pieces of circumstantial evidence upon which the prosecutor relies, and then move on to some other topics.

Upon resuming at 1.30 p.m. the judge said that he would "try to identify the main pieces of circumstantial evidence upon which the prosecutor relies to corroborate the evidence of Mr. Bantjes". In the course of doing so his Honour referred to a number of lies which the applicant said that he had told. He gave

evidence that he had lied to the Motor Car Traders' Licensing Authority when he said that three cheques deposited in the company's bank account were loans from him to Southern Commercials. They were in fact payments from purchasers of stolen vehicles, although he denied that he knew or even suspected that that was so. He had also told the authority that a number of payments made on the company's bank account were in fact payments to him. He said in evidence that that was not true either and that, as in the case of the three cheques, he was covering up for sloppy bookkeeping. Even more significantly the applicant said in evidence that he had lied to the authority as to the degree of responsibility that he undertook in the conduct of the business. The prosecutor invited the jury to conclude that the authority had been told the truth on the second and third matters and it was the accused's assertions in the witness box that were false.

His Honour continued:

So that is the first part of the Crown's circumstantial case against the accused. The Crown says he had a much greater role in the company's affairs than he is willing to concede, and the Crown relies in this regard on evidence the accused, himself, gave before the tribunal. In considering that particular submission made by the Crown as to the way in which you should regard that evidence, you are, of course, bound to take into account the accused's explanation. He said he told lies, on oath, before the Authority to protect his friends. If you think that explanation might reasonably be true, then obviously you cannot use the answers the accused gave in the way the Crown wants you to do so. The Crown, of course, asks you to reject that explanation and the Crown relies on what the accused said before the Authority. But I will emphasise you must take into account the explanation the accused has given you, and if you think it might reasonably be true, then you cannot draw any inferences adverse to the accused about that evidence.

After referring to other parts of the Crown's circumstantial case, the judge turned to the evidence of the applicant's meeting with Bantjes at the motel, which Bantjes had said was at the applicant's instigation. He claimed that he had filled out the false invoices at the applicant's request. The applicant's evidence was that he had obtained the invoices from one of Southern Commercials' directors and went to the motel to confront Bantjes in relation to them and to discover what they were about. The prosecutor invited the jury to treat that evidence and the accompanying explanation for the applicant's use of a fictitious name as totally implausible. His Honour directed the jury that, if they thought the applicant's explanation for his attendance at the motel might reasonably be true,

then obviously you cannot use it to corroborate Mr. Bantjes. If you think the explanation is totally implausible, as the Crown asks you to accept, then you may use it as a piece of circumstantial evidence if you are minded to do so, which tends to show that what Bantjes said is true.

Mr. Grace Q.C., who appeared with Mr. Thomson for the applicant, submitted that the second "it" referred to the applicant's explanation and accordingly that the jury were being told that they might use a lie as circumstantial evidence. An alternative reading is that his Honour was referring to the meeting at the motel rather than to the explanation.

Mr. Gyorffy, who was the prosecutor at the trial, also appeared for the respondent to the application. He informed us that the Crown had intended to rely on the applicant's lies to the authority concerning the three cheques both as corroboration of Bantjes's evidence and as part of its circumstantial case. That part of the Crown's circumstantial case was encompassed in the judge's summary when his Honour referred to bank deposits that were in fact sums paid by

purchasers of stolen cars but had been misrepresented to the authority as loans from the applicant to Southern Commercial. Counsel conceded that in those circumstances an *Edwards* direction was necessary but contended that the judge had said enough to comply with the requirements of that case. We are, with respect, unable to understand the submission that even an attenuated *Edwards* direction was given. To our minds it is perfectly clear that the judge did not understand the Crown case to go beyond credit and accordingly neither gave, nor sought to give, such a direction.

The submissions made on behalf of the respondent were in large measure reduced to writing. Paragraph 56 reads, "In this case the prosecution never relied on lies as being a consciousness of guilt. . . . In the final address the lies relied on were as corroboration and circumstantial evidence." Lies cannot be relied on either as corroboration or as circumstantial evidence unless they are said to constitute an admission. Paragraph 66 says that the Crown relied on the lies told to the authority about the three cheques "as tending to confirm the evidence of Bantjes that he was approached by Renzella to join the conspiracy" and "as part of the matrix of facts which showed knowledge of the accused that the cars he was selling on behalf of the business were stolen". The jury could not be invited to use lies for either of those purposes without an *Edwards* direction. Other parts of the submission are responsive to Mr. Grace's contention that the relevant standard of proof was proof beyond reasonable doubt. As we have already mentioned, that is a distinct question. It need not be resolved, as there will be a retrial and the law on the subject is explained at the references given in para. 10 above.

Mr. Gyorffy's candid explanation of the way in which the Crown intended the jury to understand its case and the associated concessions make it both inevitable and proper that the conviction be quashed even in the absence of exception below. The jury may have accepted the prosecutor's invitation to treat the applicant's lies to the authority about the three cheques as corroborative of Bantjes's testimony or as evidence that the accused knew that the cars he was selling were stolen. They were not entitled to do that except in conformity with an *Edwards* direction. If the Crown had not put its case that way, it would have been necessary to consider whether lies of various descriptions played such an important part at this trial that it was incumbent upon the judge to tell the jury expressly that they went only to the applicant's credit and they were not to reason that he had lied because he was guilty. It is unnecessary to decide that question, but a warning along those lines may well be appropriate if lies and allegedly false admissions of lying are prominent in the evidence at the new trial that must be directed.

Presentence detention

In turning to the director's appeal, it will be convenient to continue to refer to Renzella as the applicant, although he is of course the respondent to that appeal. The ground on which it is expedient that we should express an opinion reads:

1. The learned sentencing judge erred in that he took into account time which the [applicant] had spent in custody prior to the trial —
 - (a) after ruling that s. 18(1) of the Sentencing Act 1991 was inapplicable; and
 - (b) in reduction of both the head sentence and minimum term.

On 11 December 1992 the applicant had been charged with the theft of a number of vehicles and released on bail. Those charges were later subsumed in

the conspiracy count. On 4 November 1993 he was charged with unrelated offences and bail was refused. When he was committed for trial on the conspiracy count no application for bail was made, because he was then in custody in relation to the other matters. On 13 September 1994 the applicant was granted
 5 bail by a judge of the Supreme Court. He had spent 314 days in custody since 4 November 1993 but, even if the correct view was that he had been held in custody partly in relation to the conspiracy, it could not be said to have been “for no other reason” within the meaning of s. 18(1) of the Sentencing Act because he had been in custody for the unrelated matters as well. It was in those
 0 circumstances that his Honour deducted 45 weeks from the head sentence and the non-parole period that he would otherwise have imposed and fixed.

Mr. Gyorffy’s submission was that it was the intention of Parliament in s. 18 to “cover the field” in so far as credit was to be given to a convicted person for time spent in custody awaiting trial or sentence. That was said to be clear from
 15 the legislative history. The Social Welfare Act 1970 had been silent as to how presentence detention was to be treated but the practice of many judges and magistrates had been to reduce the sentence imposed by taking it into account. On 6 October 1971 a private member’s bill was referred to the Statute Law Revision Committee for its consideration. The committee reported on 12 March
 20 1974, recommending among other things “that it be mandatory that time spent in custody be counted as time already served rather than have the sentence treated as reduced by the time spent in custody”. That report led to the insertion of s. 202A into the Social Welfare Act.

Section 202A was re-enacted, without any change that bears upon counsel’s
 25 argument, as s. 16 of the Penalties and Sentences Act 1985, subss. (1) and (2) of which read:

(1) If a person is convicted of an offence and sentenced to a term of imprisonment or detention in respect of that offence, any period of time during which that person was held in custody in relation to proceedings for that offence or proceedings from which
 30 those proceedings arose shall, unless the court otherwise orders, be reckoned as a period of imprisonment or detention already served by that person under the sentence.

(2) The provisions of sub-section (1) do not apply —

- (a) where the person convicted was released on probation or upon a bond to come
 35 up for sentence if and when called upon in respect of the offence for which convicted but has failed to observe the conditions of the probation or release; or
- (b) in respect of any period referred to in sub-section (1) during which the person convicted was committed to prison, youth training centre, or reception centre for some cause not connected with the proceedings for the offence in respect of which that person is presently being sentenced; or
- 40 (c) in relation to a period of custody of less than one day; or
- (d) in relation to a sentence of imprisonment or detention for less than one day.

Section 18(1) and (2) of the Sentencing Act 1991 provide:

(1) If an offender is sentenced to a term of imprisonment in respect of an offence, any period of time during which he or she was held in custody in relation to proceedings for that offence or proceedings arising from those proceedings and for no other reason must, unless the sentencing court or the court fixing a non-parole period in respect of the sentence otherwise orders, be reckoned as a period of imprisonment already served under the sentence.

(2) Sub-section (1) does not apply —

- 50 (a) to a period of custody of less than one day; or
- (b) to a sentence of imprisonment of less than one day, or

- (c) to a sentence of imprisonment that has been wholly suspended or to the suspended part of a partly suspended sentence of imprisonment.

It will be noticed that the exception in s. 16(2)(b) in respect of any period during which the person convicted was committed to prison, youth training centre or reception centre for some cause not connected with the instant proceedings has been omitted from s. 18(2) and that the words "and for no other reason" have been inserted in s. 18(1).

The difficulty to which those words give rise is illustrated by reference to the decision of this court in *R. v. Heaney* (unreported, 27 March 1996). In that case the applicant was arrested on 2 February 1995 for a trafficking offence. She was in custody on remand until 5 May 1995, when she was released on bail. She thus accumulated a period of 93 days presentence detention. In the latter part of August 1995 she was charged with murder and remanded in custody. On 15 September 1995 she was committed for trial on the charge of trafficking. She did not seek bail and was again remanded in custody, so that a second remand warrant came into existence.

When she was sentenced for trafficking the judge declared the period of presentence detention to be 93 days, taking the view that between 15 September 1995 and the date of sentence, 21 November 1995, the applicant was not, as regards the trafficking offence, "held in custody in relation to proceedings for that offence or proceedings arising from those proceedings and for no other reason". Accordingly she was not given the benefit of the period between the date of her committal for trial and the date of sentence. Moreover, if the charge of murder resulted in her conviction, it would then be said that, between 15 September 1995 and the date on which she was resentenced by the Court of Appeal, she was not held in custody in relation to proceedings for the crime of murder and for no other reason.

Brooking J.A., in whose judgment Winneke P. and Hampel A.J.A. concurred, said that the judge was right in holding that from 15 September on, when she was committed for trial, the applicant was not held in custody "for no other reason" as required by s. 18(1). That was so notwithstanding s. 18(6), which we have not thought it necessary to set out. Her detention in custody was warranted twice over, the facts being similar to those in *R. v. Brock* (unreported, Court of Appeal, 22 February 1996). His Honour said that regard must nevertheless be had in resentencing to the period during which the applicant's detention in custody was doubly warranted. That could be done by this court's adopting the declaration concerning 93 days presentence detention that had already been made and by reducing by six months, to allow in a broad way for the period from September to March, the head sentence and the non-parole period upon which it would otherwise have determined.

Mr. Gyorffy contended that there was no "common law" discretion to take account of presentence detention in that way. Moreover, as already indicated, he contended that Parliament had intended s. 18 to be an exhaustive statement of the extent to which presentence detention might be taken into account. We do not accept either branch of that submission.

In *R. v. Judge Frederico; Ex parte Attorney-General* [1971] V.R. 425 at 430 Gowans J., with whom Winneke C.J. agreed, said that, where an offender had been in custody during part of a trial, that could be taken into account in fixing the term of imprisonment and that that was "ordinarily done". His Honour continued, "[t]he penalty is, after all, determined for the circumstances of the offender as well as for the circumstances of the offence." In our respectful

opinion those observations are applicable by analogy to other kinds of presentence detention. Section 18 does not exclude the discretion that this court exercised in *Heaney's* case. It applies only where an offender is sentenced to a term of imprisonment and there is a period of time during which the offender was held in custody in relation to proceedings for that offence or proceedings arising from them and for no other reason. In other cases the section is silent and a court is not only empowered but obliged as a matter of justice to take presentence detention into account.

It is true that the legislative history reveals an intention that that should be done by declaration rather than by adjusting the sentence, and it might well be thought desirable to amend s. 18 so that that may be done in all or a greater number of cases. There is, however, nothing in the extrinsic material to suggest that presentence detention should not be taken into account as it was in *Heaney's* case. That is apparent from paras 24 to 28 of the report of the Statute Law Revision Committee:

24. A second problem arose because the proposed clause referred to being in custody only in relation to "that sentence or the offence". The Committee was advised that many persons are charged with a number of offences and therefore would not be in custody only in relation to "that sentence or the offence". Consequently, they would not benefit from the proposed amendment.

The example of a person committed for trial on one charge and, shortly afterwards, in quite a different magistrates' court unconnected with the earlier proceedings, committed for trial on another charge, was quoted to the Committee. When the accused comes for trial on the first charge, he is acquitted, but shortly after, he appears for trial on the second charge and is convicted. In this example, the accused would not have been in custody by reason only of having been committed to custody by an order of the court made in connexion with any proceedings relating to that offence, because he would have also been in custody because of an order of a court relating to a completely different charge.

25. In cases such as this, it appears proper to the Committee for offenders to have the time spent in custody counted as time already served but the Committee stresses that this should only apply in cases where the offender is charged with a second offence before the first charge is heard and dismissed by a court. If the offender is convicted of the first charge then the time spent in custody must be disregarded in respect of the second charge.

26. The Committee recommends that the proposal be redrafted to provide for a person to have the time spent in custody counted as time served in cases where an offender is further detained on a second charge before the first charge is heard and dismissed by a court.

27. In recommending that the time spent in custody be counted as time already served, the Committee does not intend that an offender can under any circumstances receive double credits for time spent in custody.

28. Where a person is charged with a number of offences simultaneously or where a person is remanded in custody on a charge and is subsequently charged on various occasions with several different offences, the time spent in prison on remand or in custody should only be taken into account in relation to the first sentence imposed and disregarded in respect of any subsequent sentence imposed. The certificate of custody summary should indicate whether the time has already been recognized in relation to a sentence.

Mr. Grace submitted that the words "and for no other reason" in s. 18(1) should be interpreted to exclude only a period of time during which the offender was held in custody by reason of having been convicted of another offence. Alternatively he submitted that they should be interpreted to exclude no more

than had been excepted by s. 16(2)(b) of the Penalties and Sentences Act. We are clearly of opinion that to adopt either of those courses would amount to rewriting the subsection: cf. *Smith v. R.* (1994) 181 C.L.R. 338 at 346. Counsel contended that, if that were our view, there was nevertheless a discretion to take presentence detention into account in cases not covered by s. 18. He referred to ss. 1(c) and (d)(iv) and 5(1)(a) and (b), (2)(g) and (3) of the Sentencing Act. He also pointed out that, because presentence detention is necessarily cumulative, Mr. Gyorffy's submission would defeat pro tanto the operation of s. 16(1), whereby most terms of imprisonment are served concurrently unless otherwise directed. We accept that contention.

It follows that the law expounded by Brooking J.A. in *Heaney's* case is, unsurprisingly, correct in principle and consistent with s. 18. Where that section applies, presentence detention is to be reckoned as a period of imprisonment already served under the sentence, and a declaration made to that effect, unless the sentencing court or the court fixing a non-parole period in respect of the sentence otherwise orders. Presentence detention to which s. 18 does not apply is to be taken into account in the exercise of the court's discretion. It should ordinarily be taken into account at the first opportunity, as it was in *Heaney's* case, and not left to the court imposing a later sentence: cf. *R. v. Birnie* (unreported, Full Court, 17 November 1994).

The court will therefore grant the application for leave to appeal against conviction, treat the appeal as instituted and heard instant, allow the appeal, quash the conviction and direct a new trial to be had. Mr. Grace applied for an indemnity certificate under s. 13(3A) of the Appeal Costs Act 1964. Strictly speaking the director's appeal did not have to be dealt with, but one of his grounds of appeal would have failed. The other substantial ground was manifest inadequacy, on which it is inappropriate in the event for us to express an opinion. In all the circumstances, even if we have power to grant a certificate, we consider that it should be refused.

*Application for leave to appeal
granted; appeal allowed.*

Solicitors for the applicant/cross-respondent: *Stary & George.*

Solicitor for the respondent/cross-appellant: *P. C. Wood*, solicitor to the Director of Public Prosecutions

C HOUGHTON